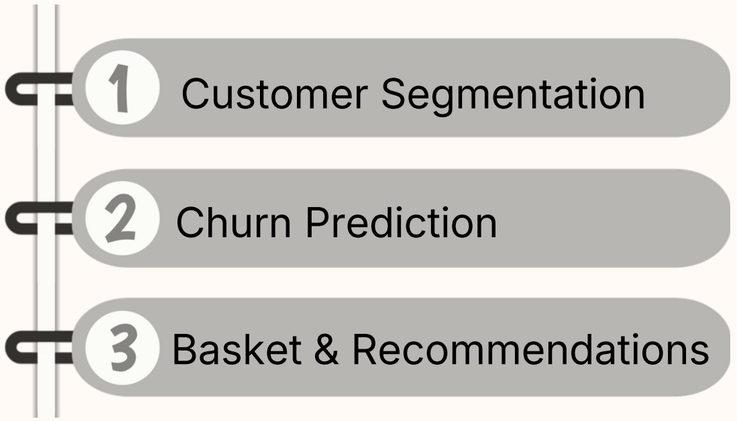
Meridian Retail Group

2026

Meridian Retail Group — Customer Analytics & Personalisation

Understanding Customers, Predicting Churn & Driving Cross-Sell Opportunities



Objective: Turn customer transaction data into actionable retention, personalisation and cross-sell strategies.

Presented by: Sejal Patil

EXECUTIVE SUMMARY

Your Question	Our Answer
Who are our customers, really?	We found **5 clear customer groups** — each with different shopping habits. Marketing can now plan campaigns around them instead of sending the same promotion to everyone.
Who is about to stop shopping with us?	We can identify **135 customers in the top 10% who are almost certain to leave** (93% accurate). This is where retention budget should go first.
What sells with what?	We found **strong product pairings** — some products are bought together 8 out of 10 times. Three ready-to-launch bundle promotions identified.

Opportunity

AED 34,525 net return per quarter
Retention spend focused on top 2 risk groups

AED 41,000+ revenue opportunity
Three bundle promotions

AED 65,223 retained value
Reducing churn by just 1%

~AED 140,000+
Total identified opportunity

WHO ARE OUR CUSTOMERS? — 5 CUSTOMER GROUP

Customer Group	Size	What They Buy	How They Shop	What They're Worth
Premium Home & Living Shoppers	3,025 (27.6%)	Home & Living, Personal Care, Baby	In-store	**Highest value** — AED 7,715 median spend
Frequent Personal Care Shoppers	2,600 (23.7%)	Personal Care, Home & Living, Beverages	Mobile App	**Most frequent** — 21 orders, AED 3,208 spend
Family & Household Shoppers	2,389 (21.8%)	Baby, Pet Care, Household	In-store	**Biggest baskets** — 6.7 items per order
Health & Wellness Specialists	1,631 (14.9%)	Health & Wellness, Personal Care, Fresh Food	Web	**Web-first** — health-focused shoppers
Lapsed Everyday Shoppers	1,320 (12.0%)	Grocery, Snacks, Fresh Food	In-store	**t risk** — 311 days since last order



KEY FINDING

Loyalty tier ≠ behaviour. These 5 groups are based on what customers actually do.



67% of Platinum members shop like Premium customers — but 33% shop like everyone else

→ Stop sending one promotion to everyone. Send the right offer to the right group.

WHAT TO DO WITH EACH CUSTOMER GROUP ?

ONE CLEAR ACTION PER GROUP — READY TO EXECUTE NEXT QUARTER



Premium Home & Living Shoppers

Offer: Premium bundles + exclusive offers
Channel: In-store
Why: Highest-value group — protect and grow them



Frequent Personal Care

Offer: Replenishment reminders + loyalty rewards
Channel: Mobile App
Why: Most frequent — keep them coming back



Family & Household

Offer: Family & household bundle
Channel: In-store
Why: Biggest baskets — offer Baby, Pet, Household



Health & Wellness Specialists

Offer: Personalised Health & Wellness bundles
Channel: Web
Why: Web-first shoppers — show what they already like



Lapsed Everyday

Offer: Targeted win-back discount
Channel: Digital + in-store
Why: Small but urgent — win them back now



THE PRIORITY — PROTECT

Premium Home & Living + Frequent Personal Care = 51 of customers and your highest spenders. They shop often, spend the most, and are still active. Protect them first.

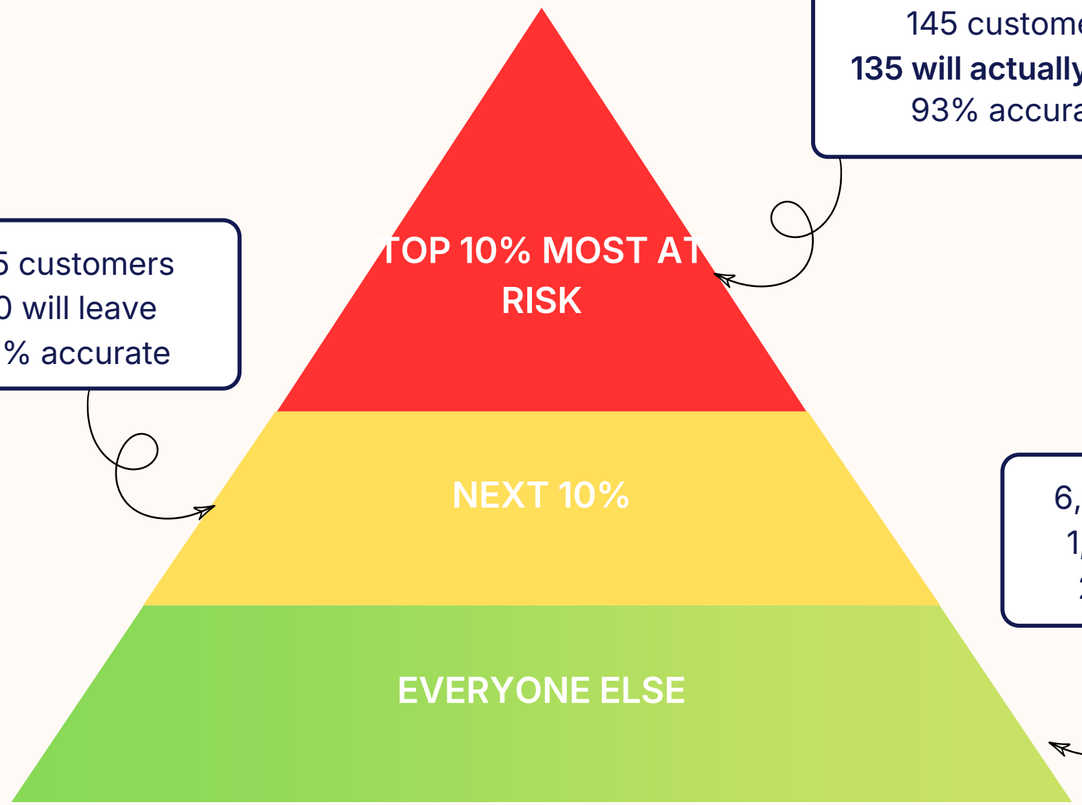


THE URGENT WIN-BACK

Lapsed Everyday Shoppers = only 12% of your customers — but 311 days since their last order. Small group, big risk. Reactivate them before they're gone for good.

WHO IS ABOUT TO STOP SHOPPING?

NEARLY 1 IN 4 CUSTOMERS STOP SHOPPING EACH QUARTER



145 customers
135 will actually leave
93% accurate

145 customers
70 will leave
48% accurate

6,957 customers
1,473 will leave
21% accurate

7,247	1,678	23.15%
Active Customers	will leave	Churn Rate

WHY THIS MATTERS

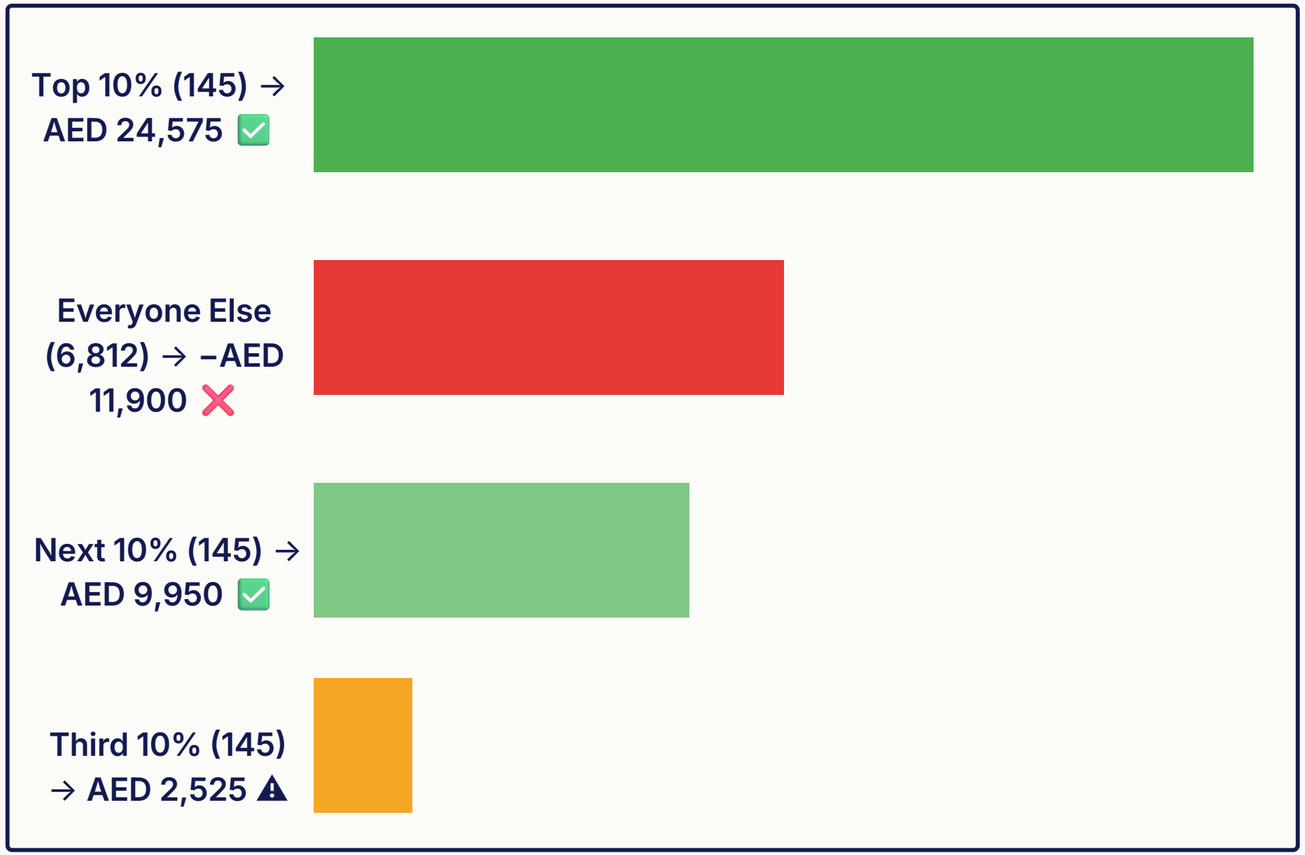
Average retained customer is worth AED 900/year.
If we save just 38 of the 135 customers in the top 10% (1 in 4 conversion), that's:
→ AED 34,200 in retained value
→ AED 5,800 in offer cost
→ AED 28,400 net gain
This is the highest-ROI action available to us.

THE KEY FINDING

The top 10% of at-risk customers are 93% likely to actually leave. This is where retention budget should go first — before they stop shopping, not after.

WHERE SHOULD RETENTION BUDGET GO?

CONTACT THE TOP 2 RISK GROUPS — STOP THERE



Offer cost: AED 40
1 in 4 will stay
Worth AED 900/year

Why the top 2 risk groups?

The top 10% contains 135 of the 336 total churners in the test set (40% of all churners). The next 10% adds 70 more (61% cumulative). Together, they contain **61% of all churners** while requiring only **40% of the total contact cost** (290 offers out of 7,247 customers).

The third group breaks even — the offer cost nearly equals the expected return. Groups 4 through 10 destroy value (every AED 40 offer returns less than AED 40 in expected retained value).

WHY CUSTOMERS LEAVE — WHAT YOU CAN CONTROL

4 OF THE TOP 5 REASONS ARE THINGS WE CAN ACT ON

★ ★ ★ ★ ★

Driver: Abandoning carts
Reason: Customers who leave items in their cart are already interested — they just need a nudge.
Action: Send a reminder within 2 hours with a free-delivery code.

Driver: Fewer website visits
Reason: Dropping visits means the customer is losing interest before they even shop.
Action: Start a 3-email "we miss you" series over 2 weeks.

★ ★ ★ ★ ☆

★ ★ ★ ☆ ☆

Driver: Wishlist items not purchased
Reason: The customer wants the product but is waiting for a reason to buy.
Action: Send a reminder with 10% off the wishlisted item, valid 7 days.

Driver: Longer gap since last order
Reason: Customers who haven't ordered in 60+ days rarely come back on their own.
Action: Add to the store team's monthly retention call list.

★ ★ ☆ ☆ ☆

★ ★ ★ ☆ ☆

Driver: Not opening emails
Reason: Email is our cheapest channel — silence here means we've lost their attention.
Action: Send a win-back email with AED 25 off a AED 100 order, expires in 14 days.

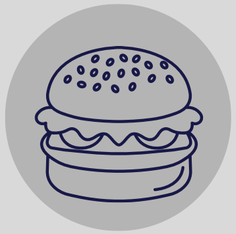
WHAT SELLS WITH WHAT?

SOME PRODUCTS ARE BOUGHT TOGETHER 8 OR 9 TIMES OUT OF 10



Zephyr Pesto 190g + Meridian Essentials Penne 500g

89% bought together
Confidence: 89.4%
Lift: 36.4



Meridian Beef Burger Patties x4 + Sundara Ketchup 500ml

93% bought together
Confidence: 92.8%
Lift: 32.4



Vantar Kitchen Towels x6 + Aurelia Dish Soap 750ml

79% bought together
Confidence: 78.9%
Lift: 37.8



Sundara Full Fat Milk 2L + Peak & Pine Ground Coffee 250g

90% bought together
Confidence: 90.2%
Lift: 29.8



DIRECTION MATTERS

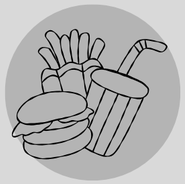
Zephyr Pesto → Penne: **89%** of pesto buyers also buy pasta
Meridian Penne → Pesto: only **19%** of pasta buyers also buy pesto
→ Place the pesto prompt at checkout when pasta is added. Not the other way around.

Meridian Retail Group

2026

WHAT SELLS WITH WHAT — BUNDLES & RECOMMENDER

THREE BUNDLES READY · POPULARITY WINS TODAY · PERSONALISATION NEXT



BURGER NIGHT

Buy: Burger patties x4
Get: Ketchup 500ml
93% buy together
AED 27,349



BREAKFAST

Buy: Milk 2L
Get: Ground coffee 250g
90% buy together
AED 18,000+



PASTA NIGHT

Buy: Pesto 190g
Get: Penne 500g
89% buy together
AED 13,925

RECOMMENDER FOR THE APP — TESTED ON MAY–JUL 2026 HOLDOUT

PRECISION@5

Popularity	[redacted]	11.87%
Item-Item	[redacted]	11.66%
SVD	[redacted]	10.45%



WHAT WE FOUND

POPULARITY IS THE WINNER ✅
Precision@5: 11.87% Hit Rate@5: 44.17%
Personalisation is at parity
— not better yet.



WHAT TO DO

→ Ship the popularity baseline in the app NOW.
→ Collect 6 more months of customer purchase history.
→ Re-test personalisation in Q1 2027 — expected to win then.

THE COMBINED VIEW — ONE CUSTOMER STRATEGY

WHO THEY ARE · WHO IS LEAVING · WHAT TO SELL THEM NEXT

→ Who they are	→ Who is leaving	→ What to sell them
SEGMENTS 5 customer groups	CHURN Top 290 at Risk	BUNDLES 3 Ready to Launch



NEXT 30 DAYS

→ Launch 3 bundles in-store and in-app
→ Contact top 290 churn-risk customers
→ Set up automatic triggers for the top 5 churn signals
→ Ship popularity recommender in the app
→ Re-test personalisation in Q1 2027

.

TOTAL OPPORTUNITY	Amount
Retention (top 290)	AED 34,525 net per quarter
Bundles (3 launches)	AED 59,000+ revenue opportunity
Churn reduction (1%)	AED 65,223 retained value
COMBINED OPPORTUNITY	~AED 158,000+



RECOMMENDATION STRATEGY

Use popularity as the cold-start/fallback strategy while Improving personalization and recommendation diversity.